



“International funds have done well in recent times due to a positive outlook on emerging technologies, especially AI”

SIDDHARTH SRIVASTAVA
HEAD—ETF PRODUCTS &
FUND MANAGER, MIRAE
ASSET INVESTMENT
MANAGERS



“The holding period needs to be longer (5+ years). Only then should investors consider investing globally as well”

RAUNAK ONKAR
FUND MANAGER &
RESEARCH HEAD OF PPFAS
MUTUAL FUND

170 |

stocks such as SK Hynix Inc, Alibaba Group Holding, Microsoft Corp, Tencent Holdings and Novo Nordisk ADR (a global healthcare company). Overseas mutual fund units accounted for 17.23% of Kotak Pioneer Fund's assets as of September 30. Parag Parikh Flexi Cap has Alphabet, Microsoft and Amazon.

At present, 66 international funds manage ₹72,329 crore assets in India. Of these, 23 are accepting lump-sum and fresh SIP investments. These include Axis Greater China Equity, Kotak Global Emerging Market Overseas Equity Omni, Edelweiss ASEAN Equity Offshore, Franklin Asian Equity, HSBC Brazil, and PGIM India Emerging Markets Equity, among others. Invesco MF suspended subscriptions to three of its international funds effective October 9.

Since February 2022, the domestic mutual fund industry has exceeded the Reserve Bank of India (RBI)-prescribed remittance limit of \$7 billion. There is also \$1 billion limit for individual mutual fund houses. This restricts domestic mutual funds in India from investing further in global stocks. The schemes open for subscription only when there is some redemption. This applies to international funds as well as funds investing in global stocks. Among international funds, most of the large ones are not accepting fresh investments. These include

Motilal Oswal Nasdaq 100 FOF, Kotak US Specific Equity Passive FoF overview, ICICI Pru US Bluechip. All overseas schemes of Mirae Asset Mutual Fund are also closed for fresh lump-sum investments and new SIPs because of the RBI limits.

In case of funds investing in overseas stocks, Parag Parikh Flexicap Fund had close to 11% exposure to global businesses, as of August 30, against the permitted 35%. This fund, like many others, is allowed to reshuffle its foreign portfolio. Additionally, any dividends it earns from these global businesses can be reinvested without affecting the overall RBI remittance limit.

International funds also have fewer compliance hassles. Direct US stock investments involve currency conversion calculations, 20% tax collected at source (TCS) on remittances, and foreign withholding tax claims, whereas in FoFs, the AMC does all the heavy lifting in the background, says Amit Baid, Head of Tax at BTG Advaya.

Effective April 2025, capital gains treatment is identical in both routes; short-term gains of less than 24 months are taxed at slab rates, and long-term gains over equal or over 24 months at 12.5% without indexation. For example, if an investor invested ₹10,000 in a FoF tracking the S&P 500 and exited after 2 years at ₹15,000, the ₹5,000 gain is taxed at 12.5%, says Baid. The same applies if an investor had directly bought Apple shares for the equivalent amount and sold later, except the same investor would also need to factor in currency conversion while computing taxes.

“Where the difference really shows is in compliance. Direct US stock purchases fall under RBI's LRS and attract 20% TCS on remittances above ₹10 lakh. FoFs, being rupee-based, avoid LRS and TCS. Dividends also differ: US stocks face a 25% withholding tax, requiring Indian investors to claim a foreign tax credit. With FoFs, the AMC handles dividends, and the investor simply pays tax in India like any other mutual fund. In short, international FoFs provide global exposure without the operational friction,” says Baid.

Funds with up to 35% overseas equity exposure, such as Parag Parikh Flexicap, continue to be treated as domestic equity funds. From FY2025-26 onward, short-term gains of less than or equal to one year are taxed at 20%, and long-term gains over one year are taxed at 12.5% with a ₹1.25 lakh annual exemption, making them relatively more tax-efficient than pure international FoFs.

Despite the popularity of these funds, experts caution against the fear of missing out. The investable universe globally needs to be reasonably valued for investors to diversify. **BT**

@amit_mudgill